



Coventry University Group

| Scarborough

Welcome to **CU Scarborough**

Learning Objectives

At the end of the session, you should be able to:

- Use different methods to identify stakeholders.
- Determine the best approaches to engage stakeholders in your projects and to build trust.
- Recognise how to work with your stakeholders to proactively accept changes in your work.
- Focus on active listening when stakeholders have concerns, issues or suggestions from stakeholders to promote organisational value.
- Identify sources of conflict within project life cycle and ways in which it could be addressed (such as Blake and Mouton, Thomas and Kilmann, and Pruitt).
- Explain how to plan and conduct different negotiations (including formal, informal, competitive and collaborative).

Key Definitions

Portfolio

- A portfolio is a set of unrelated projects and programmes managed together to achieve an organisation's strategic objectives.

Program

- PMBoK (2008), as cited in Maylor (2010), defines a program as a group of related projects managed in a coordinated way to obtain benefits and control not available from managing them individually.

Project

- PMBoK (2012), as cited in Burke (2013), defines a project as a temporary endeavor to create a unique product or service.

What is A Stakeholder?

- “A stakeholder in an organization is any group or individual who can affect or is affected by the achievement of the organization’s objectives” (Freedman, 1984, p. 4).
- “An individual, group or organization who may affect, be affected by or perceive itself to be affected by a decision, activity or outcome of a project” (PMI, 2013, p. 563).

Stakeholder Definitions – Program and Portfolio Management

- “An individual or group of individuals who has an interest in the program and can influence or be influenced by its process or outcomes” (p. 45) PMI, The Standard for Program Management – Third Edition.
- “Individuals or groups whose interests may be positively or negatively influenced by portfolio components or portfolio management processes” (p. 26) PMI, The Standard for Portfolio Management – Third Edition.

How did the term Stakeholder originate?

From gold mining!

- In the great 'gold rush', one needed to have a formally assigned claim, a mining ground, before they could start digging.
- They then put a 'stake' in the ground to indicate their claim.



Source: Oliver Lehmann, "Situational Project Management"

Stakeholders and PMI, 1996

- **Stakeholder definition:** “Individuals and organizations who are involved in or may be affected by project activities” (p. 170).
- **Stakeholder Analysis:**
 - A tool and technique for **Organisational Planning** – to ensure stakeholder needs are analysed and can be met (p. 96).
 - Also in **Communications Planning** – to determine information needs and how to meet them – “avoid wasting resources on unnecessary information or inappropriate technology” (p. 106).
- **Risk Quantification** – “an opportunity for one stakeholder (reduced cost) may be threats to another (reduced profits)” (p.115).

Stakeholders and PMI - Today

- **Stakeholder Management** – a Knowledge Area in PMBOK 5.
- **Stakeholders** – a Domain – in the Program Management Standard, Third Edition.
- **Stakeholder Analysis** – a tool and technique in managing Strategic Change and developing the Portfolio Communications Management Plan – in the Portfolio Management Standard, Third Edition.
- **They are always present in our work!**

The List of Stakeholders is Huge

Project Management

Sponsor, team, PMO, program managers, portfolio managers, operations managers, functional managers, customers/users, procurement, finance, government regulators, SMEs, consultants, and OTHERS (PMBOK 5).

Program Management

The above PLUS – governance boards, performing organisation, program team members, potential customers, competitors, affected individuals, consumer groups, environmental groups or other interests (PMI, Program Management Third Edition).

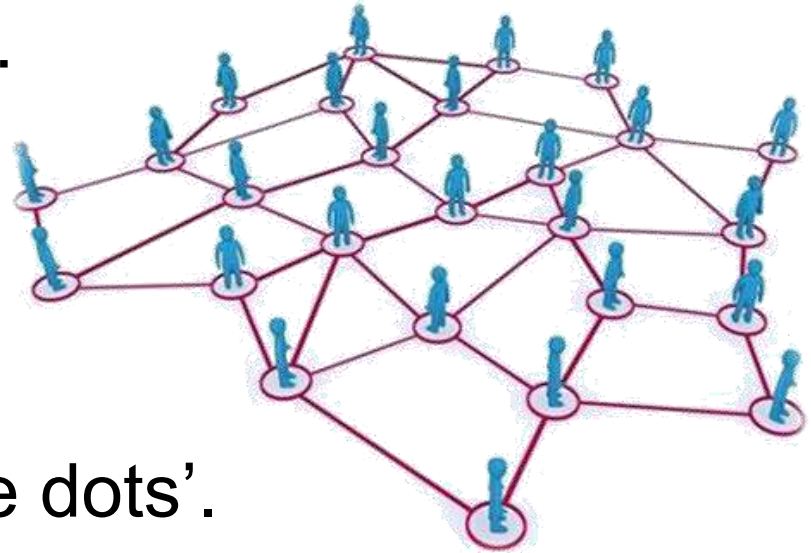
Portfolio Management Stakeholders

Portfolio Stakeholders	Interest, Influence & Information Needs	Why
External	Business partners. Competitors. Government. Industry. Legal. Customers. Investors. Shareholders. Public relations.	Related to the overall portfolio and changes being made.
Internal	Business Operational Stakeholders.	Ensure alignment of portfolio components. Minimise negative impact. Maximise positive benefits.

In Addition, Remember the 'Hidden' Organisation Chart

The people who are the true drivers
(or roadblocks of progress)...

- the less obvious,
- with broad experience,
- the key influencers,
- and can help 'connect the dots'.

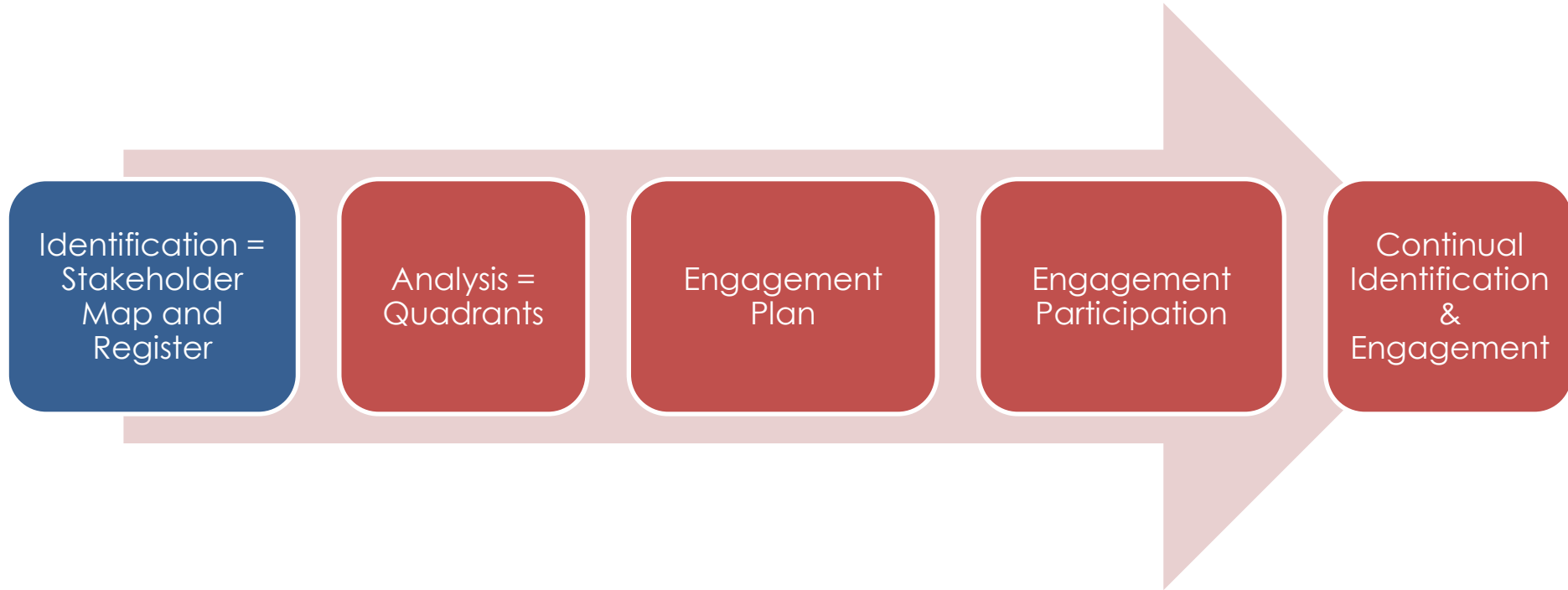


Group Discussion

Research from the 1980s to today show that 90% of the project managers' time is spent on communicatin.

- Do you feel more overwhelmed by stakeholders?
- Are there too many who have an interest in some aspects of your work?
- Are project managers constantly rushing from meeting to meeting?
- Do you think key stakeholders or stakeholder groups are often overlooked?

Steps to Take #1



Identification Approaches

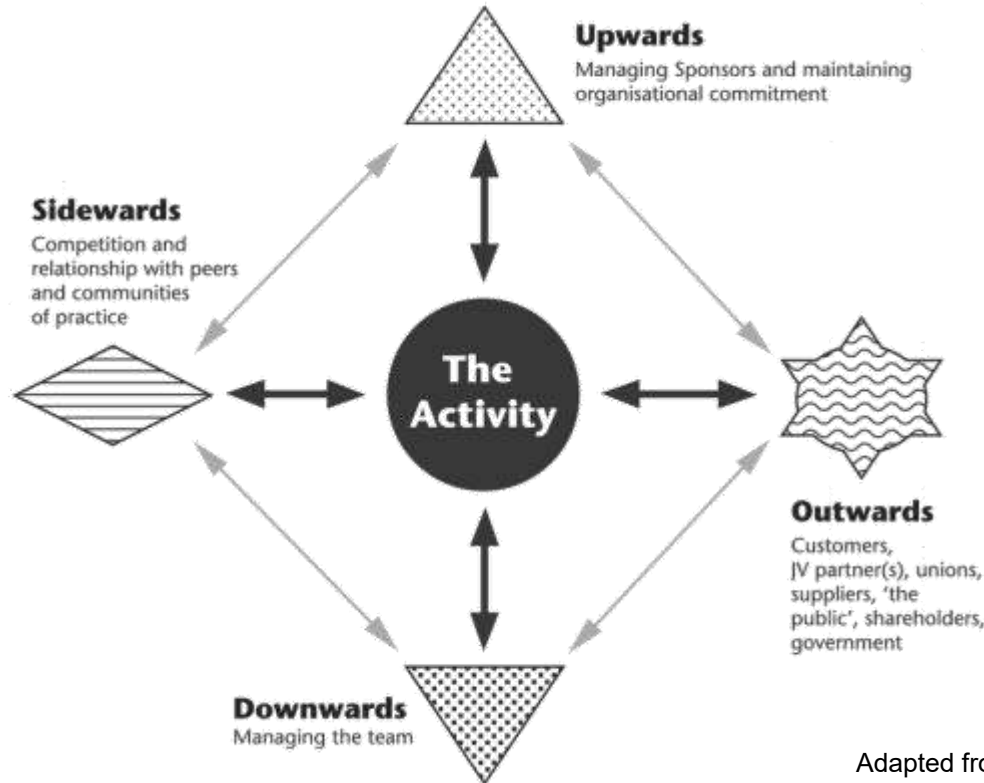
- Brainstorming
 - Entire group – free form.
 - Nominal group technique.
- Focus groups
- Reviewing documents
 - Lessons learned.
 - Charters, WBS.
 - Standards/Regulations.
 - Procurements.
- Interviews
- Questionnaires and surveys
- Experts
- Delphi approach
- Profile analysis meetings
 - Roles, interests, stakeholder position.
- OTHERS??

Stakeholder Circle Approach

Step 1 - Identification

- **Purpose**
 - Know who stakeholders are at a particular time.
 - Gather information about people and groups to target communications.
- **Determine spheres of influence**
 - **Upward**: senior managers for commitment.
 - **Downward**: members of the team.
 - **Outward**: outside of the project.
 - **Sideward**: peers of the project managers, CoPs.

Example – Stakeholder Circle – Identification



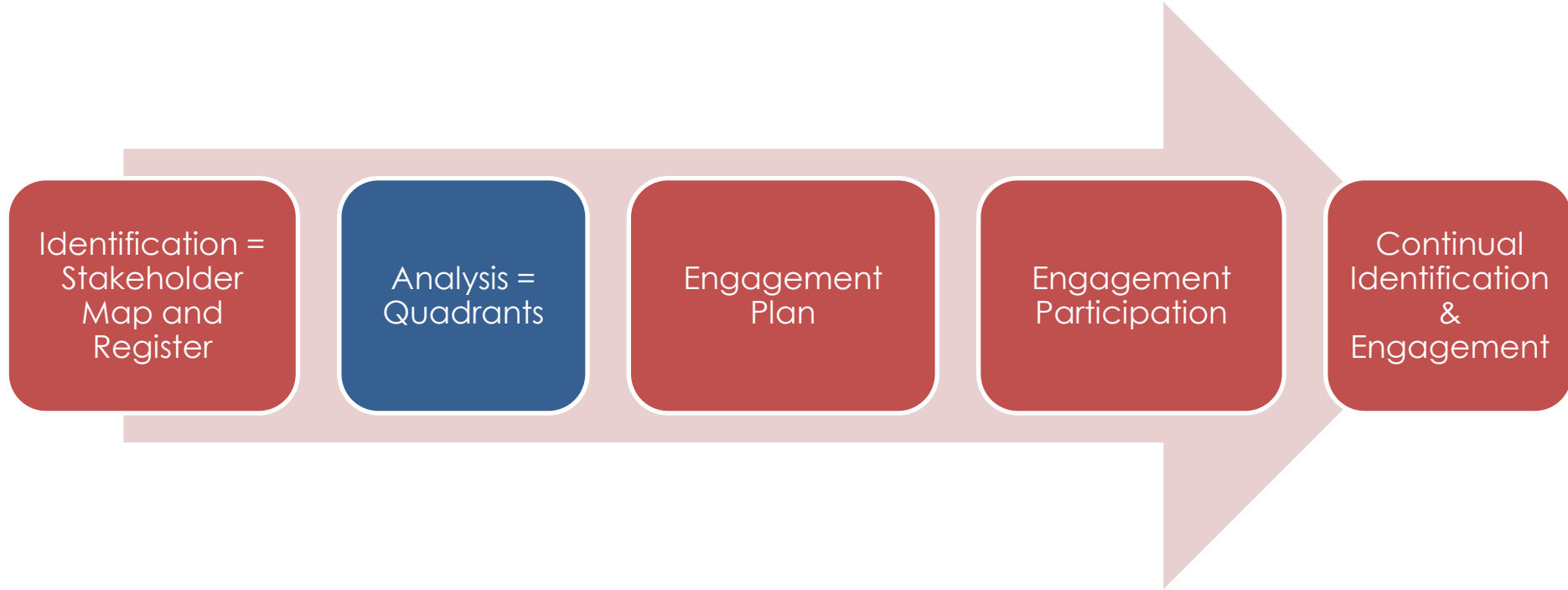
The Next Step: The Stakeholder Register

Name	Position	Contact Information	Areas of Influence	Portfolio, Program or Project Opinion	Portfolio, Program or Project Impact
Management Strategy	Information Requirements	Responsible Team Members	Issues Identified	Resolution and Date	Notes

Group Discussion

- In your work, how much time is spent on stakeholder identification?
- What approaches do you feel are the best ones to use?
- Who is involved in identifying stakeholders?
- Do you feel a register helps?

Steps to Take #2



Stakeholder Analysis - Steps

1. **Identify** all the stakeholders and their key information – stakeholder register.
2. **Classify** the stakeholders into groups by analysing their impact and support.
3. **Assess** how the stakeholders might respond in various circumstances.

Questions to Assess Influence

- Who are the members of the governing body?
- Which stakeholders are thought leaders, influences or early adopters?
- What is the stakeholder's level of authority?
- What is their political influence?
- Is their stakeholder role recognised by the organisation?
- What are their interrelationships?
- Which stakeholders can influence others?

Other Suggestions

■ Power

- The power the stakeholder or group has or may have to change or stop the initiative.
- Recognise the extent of the power.

■ Proximity

- Involvement the stakeholder has with the team.

■ Urgency

- Time sensitivity.
- Criticality.
- The value the stakeholder has on the outcome of the initiative.
- The action the stakeholder may take.

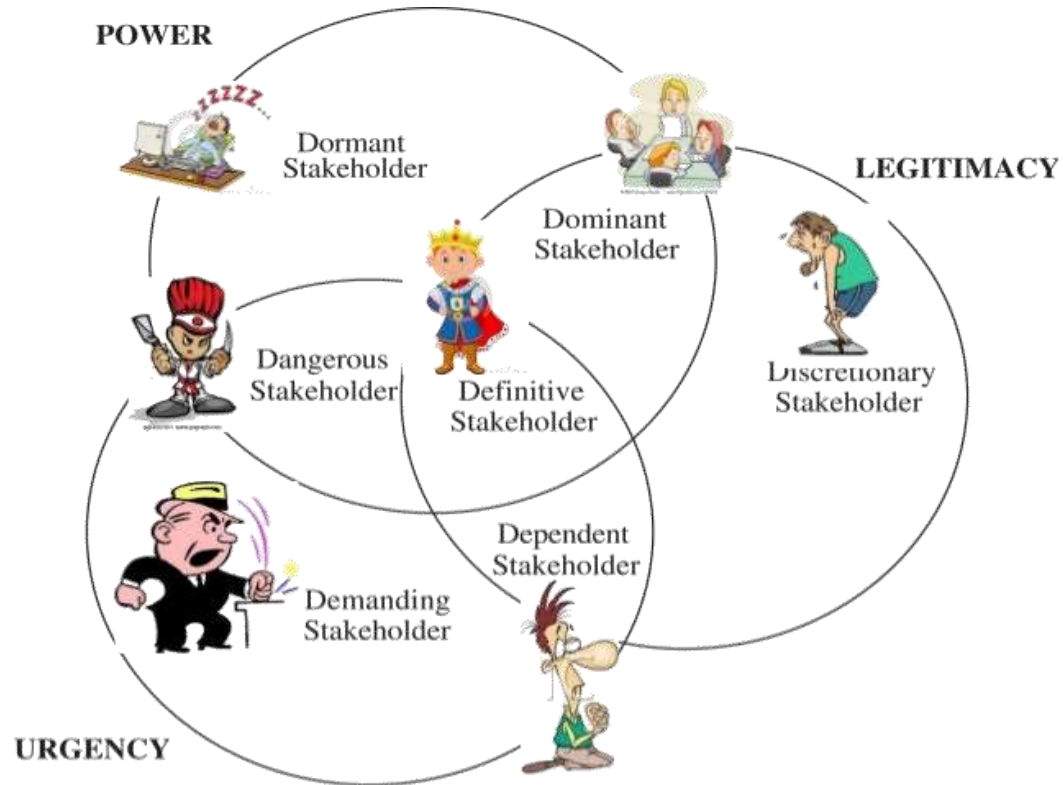
Adapted from Bourne, pp. 44-45

Key Classification Models

Power/Interest Grid



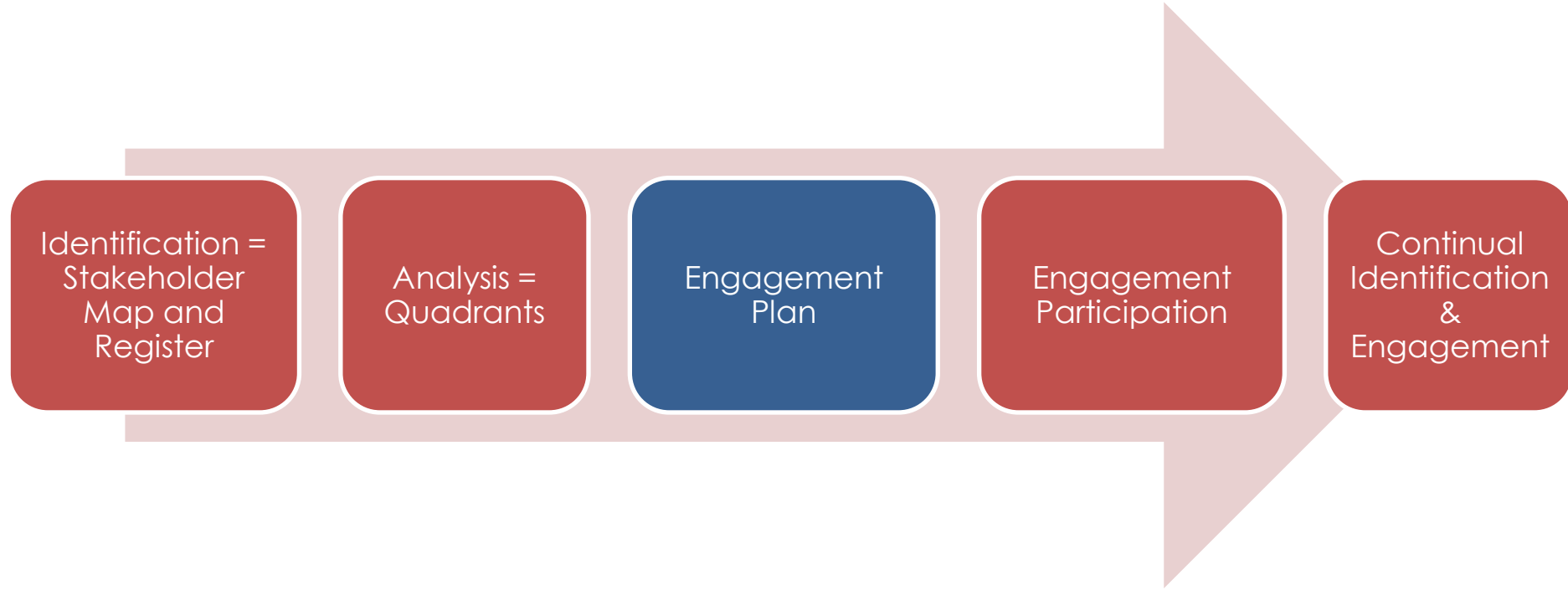
Salience Model



Group Discussion

- Assume you are classifying stakeholders at work, which approach do feel is the best one?
- How much time does it take to do it?
- How often do you use it?

Steps to Take #3



Definition

Stakeholder Engagement Plan:

- A detailed strategy for effective stakeholder engagement on the program.
- Includes stakeholder engagement guidelines.
- Provides insight as to how component stakeholders are engaged.
- Defines metrics to measure performance of stakeholder engagement activities.

Classify the Stakeholder Engagement Levels

- **Unaware** – Unaware of the portfolio, program or project, and their potential impacts.
- **Resistant** – Aware, but resistant to change.
- **Neutral** – Aware, but not supportive or resistant.
- **Supportive** – Aware and supports change.
- **Leading** – Actively engaged in supporting the change.

Consider a Stakeholder Engagement – Assessment Matrix

Stakeholders	Unaware	Resistant	Neutral	Supportive	Leading
Ginger	C		D		
Jeff					C, D
Teri		C		D	
Liz		C			D

C = Current Engagement Level – D = Desired Engagement Level

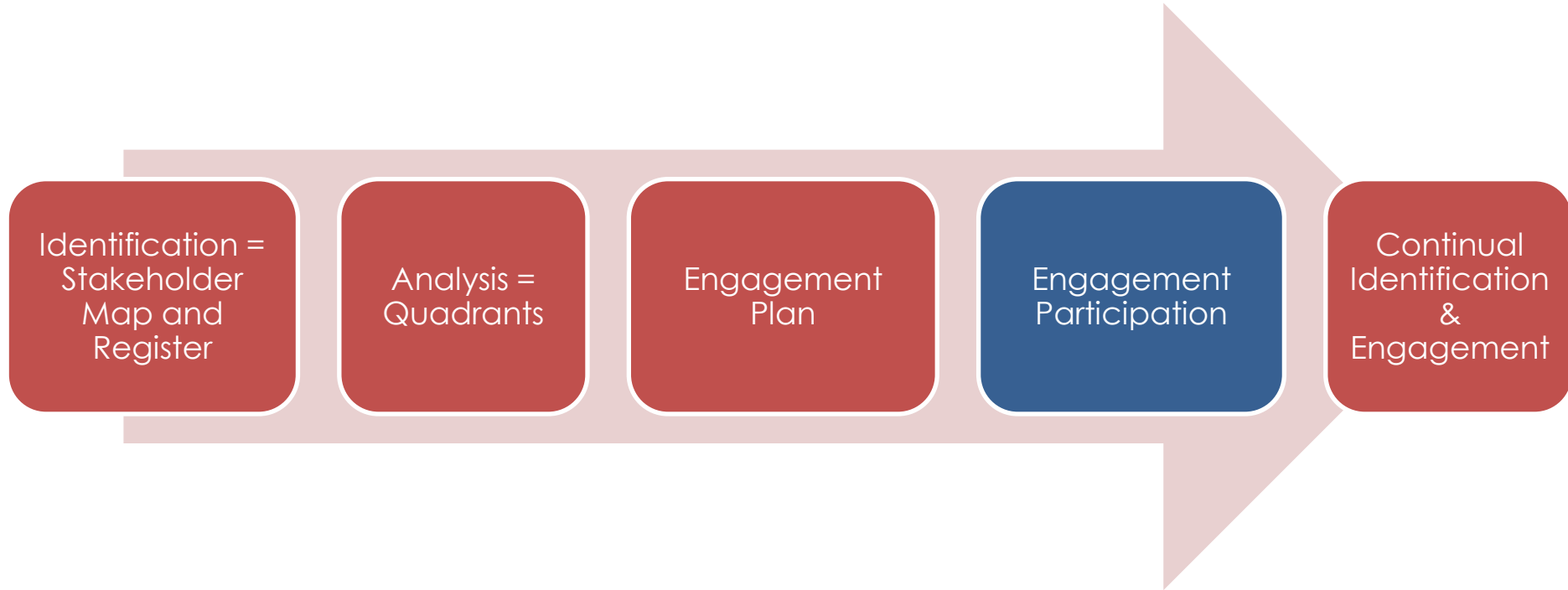
Stakeholder Engagement Plan Contents

- Detailed strategy for stakeholder engagement.
- Stakeholder engagement guidelines.
- Insight as to how stakeholders in the components are engaged.
- Guidelines for component-level stakeholder engagement.
- Metrics to measure performance of stakeholder engagement activities:
 - Participation in meetings.
 - Participation in communications.
 - Effectiveness of engagement activities in meeting goals.
- Use it in communication planning and ongoing alignment.

Group Discussion

- Do you prepare stakeholder engagement plans?
 - If yes, what are the typical contents?
 - Are they part of the communications management plan?
 - Are they in the project management plan?
 - Are they needed???

Steps to Take #4



Building Stakeholder Relationships

Consider the following:

- Who is the stakeholder?
- What help do you and your team need from the stakeholder?
- What does the stakeholder need from the team?
- Are there common objectives between the team and the stakeholder?
- Are there potential barriers between the team and the stakeholder? Can they be overcome?
- Which team member will work with each stakeholder?
- What steps can you take for a positive relationship?

Develop Stakeholder Profiles

1. Assess the actual attitude of selected stakeholders.
 2. Describe the realistic target attitude of the stakeholders responsible for success.
 3. Determine the level of support and receptiveness that would best meet the needs of both (i) the portfolio, program or project manager and (ii) the stakeholder.
- Is there an important stakeholder who is actively opposed and will not receive/be influenced by messages? If yes, what would you do?

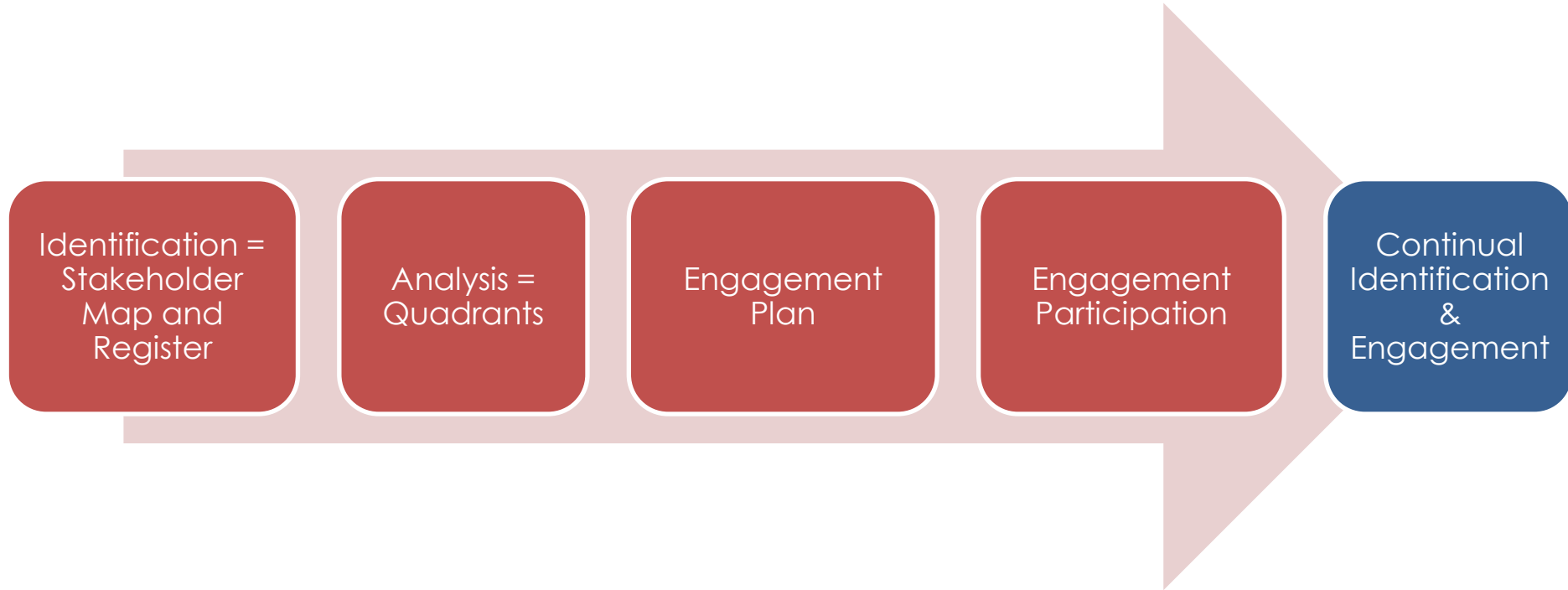
Value of Effective Stakeholder Engagement

- It will be different for each stakeholder group.
- Consider if the value is tangible or intangible
- Remember stakeholder engagement is FREE.
 - Consider the cost of **not** engaging **all** the stakeholders – it could lead to:
 - Loss of assets, loss of shareholder value, loss of reputation, reduced staff morale, people leaving the organisation ... etc.

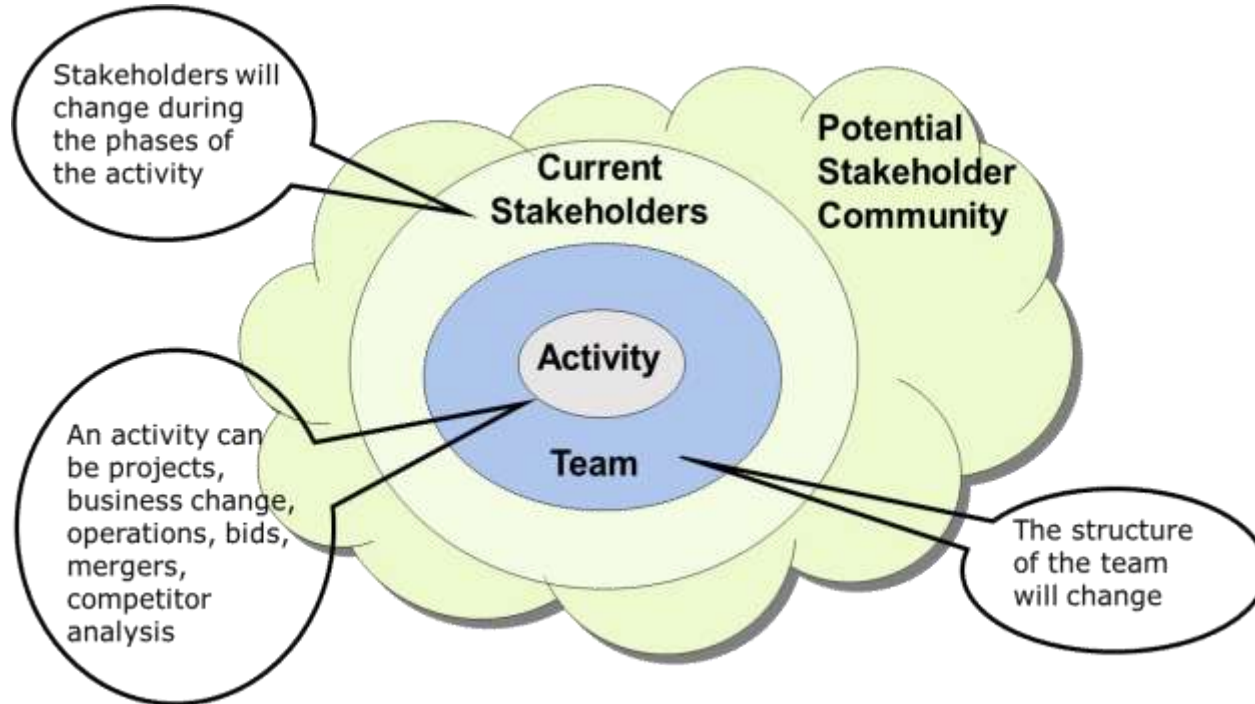
Stakeholder Communications Strategy Matrix

Setting Stakeholder Communications Strategy			
		Level of Interest	
		Low	High
Level of Power	Low	Apply Minimal Effort	Keep Informed
	High	Active Communications	Active Communications and Engagement

Steps to Take #5



Stakeholder Engagement is Ongoing



Adapted from Bourne, 2015

Remember

- Continually engage with stakeholders.
 - Communication requirements may change.
 - Ensure communications needs are met.
 - Ensure needs align with the stakeholder engagement plan.
 - Obtain feedback on the plan.
- Use interviews, questionnaires/surveys, meetings, lesson learned sessions, brainstorming ... etc.

Group Discussion

- How often do you engage with stakeholders?
- Do you have members of your team responsible for certain stakeholders?
- What approaches do you use?